India's diversity. The budget does this by activating many domestic growth engines, stimulating demand as well as sustaining public capex growth and other supply side improvements. Tariff simplifications are in our own interest and have set the stage for possible negotiations with the US.

● **CHAKRABORTY:** The focus of the budget in improving the near-term consumption outlook should improve the demand visibility for corporates and in turn be positive for private investment too. However, if there is existing slack in some industries, then it might take some time for capacity utilisation levels to improve to a point where fresh investments are needed. The setting up of an Export Promotion Mission and the announcement of creating a national framework for Global Capability Centres to be formulated augur well for both merchandise and services exports. The rationalisation of import duties is also an important step towards facilitating exports. The global backdrop remains challenging and uncertain, but the domestic policy levers have to be positioned to navigate these difficult times.

● **MISHRA:** The government does not have the fiscal space to provide a boost to exports and investment. It is therefore correctly focusing on ease of doing business and ease of living, and providing the right incentives to state governments and the private sector to remove bottlenecks like urban infrastructure, and the supply of vegetables and fruits that are keeping inflation high.

The growth stimulus needs to come from the central bank, through a meaningful injection of liquidity, macroprudential easing (reduction of risk weights for certain types of loans that are currently seen as low risk), and other such measures to boost overall credit growth.

● **PATNAIK:** The government's latest indirect tax reforms aim to boost India's export potential in a variety of sectors by offering considerable customs duty reductions on inputs, allowing domestic firms to compete and making trade processes easier. Extending export windows, particularly in areas like handicrafts and railway equipment, gives businesses more time to execute and fulfil export orders, building long-term relationships with international stakeholders. Lower customs taxes on inputs make final goods more cost-effective and increase their sales in global markets, particularly in those sectors where India already has a competitive advantage.

The combination of tariff reductions on inputs and trade facilitation measures minimises uncertainty in trade operations, making it easier for exporters to do business. ■



"The global backdrop remains challenging and uncertain but the domestic policy levers have to be positioned to navigate these difficult times"

SAMIRAN CHAKRABORTY

MSMEs, granting them additional benefits, such as the MSME Samadhaan scheme, which helps resolve delayed payment issues. Second, extending the incorporation period by five years will provide several benefits to start-ups established before 2030, promoting innovation and driving economic growth. Third, the increase in credit guarantee coverage for micro enterprises can help address the significant funding gap of Rs 20-25 lakh crore that MSMEs face.

● **GOYAL:** Manufacturing has got the consumption demand boost it wanted. There are also moves on deregulation, skilling, easier credit for MSMEs, continuing development of physical and digital infrastructure and so on. But the most important is the emphasis on working in partnership with the private sector and with states that are responsible for the ground conditions industry faces.

● **CHAKRABORTY:** MSMEs have been highlighted as one of the four growth engines in the budget. There is adequate attention to ensure that MSMEs grow in size to get the required benefits of economies of scale. The government has been conscious about improving the credit availability for MSMEs and easing the bottlenecks of multiple regulations to ensure faster growth. There has also been specific mention in the budget about channelising resources towards



"The substantial support to MSMEs will help position India as a global manufacturing hub"

ILA PATNAIK